Mohnish Pabrai's Interview at the Investor's Podcast on April 15, 2025

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Stig: Thank you for making time here before this special weekend.

Mohnish: Stig, I always like our pre game tailgate party every year, so that is great.

Stig: Whenever I go to a restaurant, I go there to try out the new dishes and I always end up with the favorites. I want to give you a new set of questions. I want to try those new tasty dishes there at the restaurant. That is going to be the premise. I am not sure, yes, pun intended, if they will be tasteful. Mohnish, are you ready to go?

Mohnish: Yes, that sounds great to me. Give it a shot.

Stig: All right, let us see how it goes. The first question is, I am going to make this comparison of relationships, friendships with stocks in the portfolio. We know that the best things in life come from compounding, and so we want to circle the wagons of our current friendships. But you probably also want to be open to new, wonderful relationships. Assuming that you agree with that premise, how do you think about attracting the right people into your life and investing in these compounding relationships, circling the wagons, but then also starting new friendships?

Mohnish: Well, that is easier said than done. It is a challenge in the sense that, if we were to do it, let us say the way Munger would recommend it, we would be looking at opportunity cost. What we own versus what might be possible to bring into the portfolio. One of the things to keep in mind is that the mistress always appears to look better than the wife, but she may not be better. Appearances can be deceiving. We have to keep in mind that this mistress is better, or is the newness what is making it better? That is a challenge. One way to think about it is, Buffett has talked about the permanent holdings. He talks about some companies that he would not want to sell. Clearly, Apple was not one of them. But he has held American Express for a very long time. He has held Coca-Cola for a very long time. The wholly owned businesses have all been held for a very long time. When I look at my portfolio, there is a hierarchy in the sense that if I look at the portfolio I have today, I like everything. If I did not like it, I would have made a change. But I like everything. Now, when something new comes in, a new mistress shows up. If the mistress is truly attractive, then we can take a look at the lowest conviction ideas. One should not be playing a game of 19

versus 20 (like the wife is a 19, the mistress is a 20). That is probably not a good game because you can be off on that. But if something in the portfolio is a six and a half out of 10 and the new kid on the block is nine and a half out of 10, then yes, that should be a good candidate for considering a change. Now you have tax issues and other things, but you can think about it in those terms.

That is what makes investing very hard. If we go back to the late 60s, early 70s, there was this concept of the Nifty 50. The idea was that you bought these 50 happening blue chip stocks 2% into each one, and you did not care what the valuations were or anything. You just bought them all, and you kept them. Ignore all the noise. What happened in 73-74 was a crash in slow motion. It was a pretty big market correction. You look at the peak of 73 to the bottom of 74, the Nifty 50 got taken out back and shot. It was a bloodbath. By 1975, nobody would admit they were invested in the Nifty 50. There is some controversy over whether Walmart was part of the Nifty 50 or not. Some people think that Walmart had its IPO in 1970. Some people think that Walmart was one of the Nifty 50. Now, just to make my case easier, we are going to assume Walmart was part of the Nifty 50. Let us say you invested in the Nifty 50. You put $100,000 into the Nifty 50, and 2,000 of the $100,000 went into Walmart (one of 50 bets). Let us also assume all the other 49 holdings go to zero. There were some real losers in there, like Xerox, Polaroid, and Kodak. There was also ADP, Coke, Amex, and Disney, and all of these companies in there. I am taking everything to zero except Walmart. You have $2,000 that you put in. If you kept it invested for the last 55 years with 98% of the portfolio going to zero, your annualized returns are almost 15% a year, and you blew out the S&P 500 with a 98% error rate. To do that, one is you needed to recognize that Walmart was a beautiful wife, and no mistress was better than this beautiful wife. You had to hang on to it. Of course, in 1975, when the bloodbath took place, everybody exited everything. I also want to point out that when Walmart went public, Sam Walton had already transferred shares to his kids. When Walmart was a private company, it paid almost no estate tax because the shares were transferred and it was worth almost nothing. It has been 55 years since the Walmart IPO, and it has been 33 years since Sam Walton died. The Walton family today owns 46% of Walmart. 55 years after the IPO, there were a lot of helpers who came to the Walton family, saying, "You should diversify. You should do this. You should do that." They told them all to get lost. They paid no taxes. They had no frictional costs. They had huge dividends. There is a very strong message there, and this is not some outlier example. We have seen a lot of studies where most of the returns in the stock market come from a small sliver of companies. Even Warren Buffett has a 3 or 4% hit rate. Most of the time, when we encounter a mistress, we are going to be disappointed.

Stig: It is wise words I get tempted to say, and if I sound wise, it is wisdom born out of pain. This takes me to the next question. I have heard you being asked quite a few times by students what kind of advice you would give to someone who starts with money or who is 20 or 25? I would be curious to hear, because I just

turned 40, and I know last year you turned 60. If we look away from the whole wife and mistress thing, if we can, which advice would you give to yourself, age 40 and 50, whenever it comes to life, and why would they be different?

Mohnish: Stig, it is all about compounding. There are three variables with compounding: your starting capital, the rate of return, and the length of the runway. What we need is a very long runway. A long runway is a marvelous thing. Warren Buffett bought his first stock when he was 11 years old. He said that he was wasting his time until then. He is going to be 95 this year; 84-year runway and counting, which is great. One of the things that I had assumed when I was 40 years old was that I was going to be leaving planet Earth on June 11, 2044, when I was 80, one day before my 80th birthday. Then recently, I went to God Google, and I asked God Google, "When am I leaving?" Of course, when you ask God Google, you are going to get an answer. God Google said, "You are going to be leaving on June 11, 2054." I got 10 more years.

Stig: Wonderful.

Mohnish: 10 more years is a beautiful thing. Not because I like my fellow humans, but because I like a long runway. As we talk today, I have 29 years and three months and a few days left, which is great. It is incredible. The one big piece of learning that I wish my 40-year-old self had was that I had a flawed model of investing. It stuns me that I had this flawed model of investing for almost my entire investing career. It only dawned on me in the last few years that the way I am doing things is quite stupid. My model when I was 40 and even when I was in my early 50s, was that you try to buy a business for half or less than it is worth, and when it gets valued at 90% or more of intrinsic value, it is time to move on, bring in the next mistress. That sounds rational, but it is the dumbest thing. The reason it is the dumbest thing is that we do not know what intrinsic value is. We may guess it, but the great business is a surprise to the upside, and they kind of blow your mind in terms of what they can do. Warren Buffett was having difficulty playing 25 million for See's Candies. The dividends that they have received in the last few decades are approaching 3 billion, more than 100x of what they invested. They still have the business, which is doing very well, but the dividends have been more than 100x. They would have never guessed that in their wildest dreams it is going to give us 2 and a half, 3 billion in dividends and counting. We are never able to appreciate how great some good businesses can be. Also, we definitely will not be able to understand which businesses are the great ones till after we own them for a while. The advice to my 40-year-old would be that, "Listen idiot, you are going to get some companies in the portfolio that are truly exceptional. You will know that they are exceptional. I do not need to go into the past to tell you which ones are going to be exceptional. You will know. Just change your framework, which is that when you own an exceptional business, a fraction of an exceptional business, do not sell it at 90% of its intrinsic value. Do not sell it when it is fully priced. Do not sell it when it is overpriced. You can think about selling it when it is egregiously overpriced. When you figure out the difference between

overpriced and egregiously overpriced, call me collect." The call me collect, Stig - the 30-year somethings just missed that. They don't know what that phrase means.

Stig: You are right. I remember in the early days, whenever I was traveling, I did not have a cell phone. I do not think anyone had a cell phone other than some high flyers. But then you would go into a convenience store, get a phone card, insert that card into a phone booth, and then you could call people. In my case, I could not ask anyone to do a collect call, so I had to use a phone target. I did not have as many friends as you.

Mohnish: Just to digress for a second, there is a friend of mine in Chicago. He was die die-hard Buffett Munger fan. When he had his first son, he named him Charlie Warren. His first name was Charlie. The middle name was Warren. Last name is Oberman. Charlie Warren Oberman. I remember when Charlie Warren Oberman was born. When Charlie Warren Oberman turned 20, he contacted me and I said, "Charlie Warren, I know your whole life story." When Charlie Warren was born, his dad sent a picture of him to Warren and Charlie, and Warren sent him a note back saying, "When Charlie Warren has his first stock tip, call me collect."

Stig: It is a beautiful story.

Mohnish: It is true.

One of the things that I had read about with Marcus Aurelius, with his Stoic philosophy, is that adversity is a blessing. To encounter adversity and overcome it is a great blessing, and now that is a quote. But when I look back at all the difficult times in my life, it was those difficulties that led to the greater growth and higher highs. We cannot tell this when we are going through these painful periods. Munger said that no one is immune; everyone is going to have reverses in life. We are not going to be able to have a life without reverses, and the good news is that when there is a reverse, we should be excited. I am almost like an observer. If I encounter adversity now, I know that I do not know how it is going to help me. I do not know how I am going to get out of it. I am in the middle of it. There are a lot of challenges, but I know I have the confidence to know that this is a beautiful thing. I should be grateful. I know this will lead to higher highs. I just do not know how. So play the cards, and life will work out.

Stig: When was the time when you felt like an extra dollar would not increase your happiness, and you can make up that dollar to whatever kind of amount you want? What I am asking is, when did you feel like any additional cash wouldn't make any difference in your life quality?

Mohnish: I felt that when I was around 33 or 34 years old. I would not be able to consume the wealth I had at that point. I knew right then that incremental spending at that point would not increase happiness. I was aware of the fact that after 33 or 34, there was going to be a very strong likelihood of extra wealth. But trying

to come up with some way to spend it or even spend part of it would not have increased happiness. I always, even now, look at how I can make myself happier. It is a constant. I am very happy with life. If there are things that money can do that could make me happier, I would be the first to execute on that. But there are very few things at this point. I mean, when you get past a certain base level, it is not going to increase happiness. I appreciate that Buffett and Munger had many conversations themselves about their homes. Munger built his home in the 1960s. I visited that house many times to have meals with him. He raised his kids over there, and he had been living in that home for around six decades, very happily. It is a ranch home. You would pass it. You would not even look at it twice. It would not stand out in any way. We have seen Buffett's house as well. He has been there for more than 70 years. Both of these individuals talked to each other about this, and they noticed that they had friends who were much less wealthy than they were, who were buying big mansions and whatever else. They just did not see that doing any of that was going to make them happier. In fact, Munger and Buffett are a little bit different in the sense that when Munger passed away, he had maybe half a dozen or more homes. There was one in Newport Beach, there might be a couple in Hawaii. There were at least two or three in Santa Barbara. Then he had his home in LA, and so on. He had at least half a dozen homes, and of course, in Minnesota, where he went fishing. He would tell me that Warren had a second home in Laguna Beach, which his wife wanted to go to for the Christmas holidays. He said that before Susie's ashes had turned cold, he had put that house up for sale. He had one second home, which his wife wanted, and he was happy to do that for her. He used to start writing the annual letter from the Laguna home when he went there in December. But he did not need it. I look at my friend Guy Spier, for example, who has many homes, and to me, that is a headache. If I had a second home, not only would it not make me happier, it would make me unhappy because it would just add burdens, like my books would get split, and I would have to have two setups. Then I am spending time traveling between these two setups daily. I eat two meals; I eat brunch, and I eat dinner. The brunch I eat every day is the same brunch I eat every day when I am in Austin. I have been having that same brunch for several years. No desire to change it. Any change would make it worse; it would make me unhappier. I am happy with no travel. I am happy with one home. There are very few things that money can do that can make you happier, and there are many things money can do that can make you unhappy.

Stig: That is wonderful. Thank you for bringing that up, Mohnish. I would make the argument that you could make significantly more money than you do now if you wanted to, doing things you did not want to do. I do not know how, but let us say you would take some endowment money or something, and they would want to redeem at any point in time, or you could not invest in this and that sector, whatever, it does not matter, and perhaps that is completely off. let us say add $100 million, to a net worth, and we just learned it is not going to make a difference. Could you give that money away? If you give away a hundred million dollars or $200 million, you probably do not get extra benefit utility out

of giving because you still help a ton whenever you do that. Assuming those crazy premises are right, how do you think about this? Do you feel you have a responsibility to do things you do not want to do for money that does not make you any happier, so you can give away that money and improve other people's lives? I know, that was a crazy long question.

Mohnish: For me, it is a total no-brainer that I would never want to do something that would reduce my joy and happiness in life by even one iota. If I am going to do something which makes me unhappier, for example, there is more travel, there is more human interaction, life is more frantic, and all that, it would not be of much interest now. I would end up with more money to give away. The giving away money for me has never been about any legacy or anyone patting me on the back or in any way feeling good. I am not looking for any kind of reward from that activity. This is how I conceived it almost two decades ago, and it is how it is today.

I like playing games, and I enjoy playing math games. Dakshana is a math game to me. I tell this to the students when I meet them. I say, "I am so sorry to disappoint you, but you are part of a math game in my head. I am not doing this because I have a great love to make your life better. I know that your life is becoming a lot better, which is wonderful. But for me, it is more about the cold calculus of the game that is what is most exciting." The game I am playing is that I have a compounding engine that is hopefully increasing wealth for the next 29 years and months, and I have an engine that is trying to give that wealth away. If we can compound at, let us say a 15% rate return, life is all about doubles. It would double every five years, so approximately six doubles. Six doubles is 64x, so that is a significant amount of money multiplication, plus I am getting fees on other people's money and all that. It would be more than that. There are some taxes, but probably will still end up being more. To me, the great challenge and I do not know whether I will be able to meet this challenge and I will be disappointed if I did not meet the challenge, but it is a tough challenge, is one day before I die, June 10, 2054, I want to have $10,000 left, or maybe even $5,000 left; that would be even better. If a day before I die, there are 3 billion left, I have failed. I lost the game. The difficulty with this challenge is that I do not want to give the money to the Red Cross because the Red Cross is, with due respect, suboptimal. For me, the challenge is to be left with 10,000. But to have it given away in a manner that any critical observer would say, "That was fantastic." Not my friend saying, "That was fantastic." Someone who is a critic looks at it and says, "That was fantastic. He may have had other flaws, but this was fantastic." That is what I am looking for: an objective observer saying, "That was cool." Right now, to me, it is extremely challenging because, as the numbers get larger, giving money away is more difficult than making it. I have a lot of respect for Chuck Feeney and the book, *The Billionaire Who Wasn't.* That is a great book. Chuck Feeney died with very little money, a rented apartment in San Francisco, and an awesome. That journey is not easy, but it is a fun journey. It is a fun game for me. From my point

of view, it is like a dimensional test just for the next 29 years, where I know the compounding end is pretty autopilot type; that part I have no concerns about. It is the other side, because for example, the current program that we run at Dakshana where we are spending about $3 million a year, once we are spending about 7 million a year, we cannot spend any more money in that endeavor, we run out of seats and brains and all of that. What if I had 100 million a year to give away, which hopefully will happen at some point? That program can only take 7 million. I do not know today what I would do with the other 93 million. If the other 93 million do not go into endeavors that make the critics say, "That was awesome," that is terrible. That is the challenge. That is the whole focus of this life: playing this game.

Stig: Mohnish, whenever I see you on these calls with some of the scholars from Dakshana, I can tell that you moved. They tell you that they met you, and it is just that beautiful, wonderful moment. Then you tell them that they are a part of the game that you are playing. I could just see the panic in their eyes, and they are thinking, "Where is this dude going with this?"

Mohnish: I like to have fun with them. One time, I went with a friend of mine (a young guy from the US) to the Dakshana campus. He looks like Mark Zuckerberg. We decided before we went on the campus that I am going to call him Zuck, and I am going to just say, "This is my friend Mark Zuckerberg. I call him Zuck. He founded a company you might have heard of, Facebook, and he is going to hang out with us." It was so funny. The thing is, one time, Bill Gates was in some very rural village in India with Melinda Gates. They go into the hut of a very, very poor old lady in that village. It is Melinda Gates, Bill Gates, and this old lady in this small hut. She does not have much. She is very poor. There were a lot of reporters, but they were not allowed to come into the hut while the Gates were having the interaction. Then the Gates left, and the reporters went in to talk to this lady, and they said, "Do you know who that was?" The lady says, "Some foreigners came." The reporter said, "Yes, but you know, that was the richest person in the world." The lady said, "All foreigners are rich." She was right because in her life experience, she had never met a white person who was not significantly wealthier than her. For her, the calibration difference between the reporter, who was white, and Bill Gates, who was white, was meaningless. When I was on the Dakshana campus, telling the scholars that this is Zuck, what I saw on their faces was the same thing that I would have seen in the face of the lady. They thought, "All of Mohnish's friends are happening. What is unusual about that?" They just took it in stride.

Stig: That is a fantastic story. Thank you for sharing that with us, Mohnish. Whenever we say IIT, we are referring to the Indian Institute of Technology, which is not a random place, I should say. You just mentioned Bill Gates before, to elevate it. He said that if you can only hire for one place, it would be IIT and not whatever kind of Ivy League school. "After reading the letters, let us try to break it down into three sections. We want to make sure you have the best possible education. Then we want to make sure that we identify the scholars with the

most potential. And then we also want to make sure that they are below the poverty line." What we found is that identifying scholars below the poverty line might not sound like a hard task, but I would say it is probably the hardest nut to crack.

Mohnish: It is very difficult. It is not easy.

Stig: It is not easy because there is such a strong incentive for the scholar's family to misreport their socioeconomic status. Could you please paint some color around this, and how have you solved it at Dakshana?

Mohnish: It is a constant battle. One of the issues that Dakshana faces is that the quality of the coaching services that we offer to our scholars to get them ready for IIT is better than what the private sector offers. If you are a middle-class family or a rich family, and you had a choice, you would want your son or daughter trained at Dakshana. When we offer that level of quality in what we are giving, it means that everyone is trying to crash the gate. Some people are very direct with us. I get messages saying, "I am happy to donate $50,000 to Dakshana if you will take my kid. Take the kid for one seat. I will give you 50,000." 50,000 is a lot more than it would cost them to get coaching somewhere else. They are putting a value that is above what the private sector charges. This creates a lot of incentives, and the other thing that Dakshana has tried to do is we want to go to the bottom of society. My definition of bottom, that many other nonprofits in India find to be too extreme. But we are looking for the absolutely nothing families at the bottom. What we have done is that for our main campus, where we take kids after they finish high school, we have in-person interviews.

Stig: As you know, we have bad debt here on TIP, which I should not say, but we have some advertisers that do not pay, and to some extent, that is part of the business model. It is like you have bad debt, you do not know who it is, and trying to minimize it. But if you want to make sure that everyone preps, and you can do it metaphorically, what would that mean for an NGO? It would be more expensive for you to go that route and have zero bad debt, but then you lose out a ton.

Mohnish: Sure.

Stig: How do you think about that? Is that bad debt that you were at the time (5 to 8%)? I imagine that it is less now. But, is that bad debt you have? Where some just? That is just the way it is.

Mohnish: On the one hand, if we go extreme on that, we will be excluding deserving people, which is not good. There is a balance we have to make. Like in any business, if you are a retailer, you have annual inventory shrinkage. You are running a business, so you are going to have some bad debts. The thing is, you can have policies that reduce that and so on. That is why Walmart came up with a greeter. The greeter dropped the shrink a lot. At the end of the day, what we have always tried to do with Dakshana is run it like a business. We run it the

way you run your business. This metric of what percentage of kids we are supporting that we should not be supporting is an important metric, and we try to get accurate statistics on that. All I am trying to do is to do that next year slightly better than this year, on all fronts. The only objective at Dakshana is that we try to do a slightly better job on 20 different variables next year than we did this year, and we keep doing that. It ends up becoming world-class.

Stig: Whenever I am speaking with a team, I would clone that for you. I say Mohnish and then say, "It is so hard to give away money and so easy to make it because of the feedback loop." Then they look at you, and you are sort of an arrogant foreigner. Why are you saying it is so easy to make? Yes, you know where I am going with this? Like in capitalism, there is a feedback loop. If you do not make money, you know you have done something wrong. What I said to the team is that we have cloned this year from Dakshana, so equivalent to IIT. That number needs to be as high as possible. That is the single metric we are looking at. Then whenever you do that, and let us say you would, for example, give bonuses if it is at certain level, then you run into the issue that you have people who then have incentive to admit students that probably do not come from below the poverty line, but, there is a probably higher probability that they are going to pass. How do you navigate that in your organization? Do they get bonuses based on different metrics? How do you handle that?

Mohnish: That is an important thing. Incentives are a very big part of Dakshana; our teams are very well incentivized, even though many of them joined because of the calling and the purpose. There is a separation of church and state. The faculty, which is focused on teaching the kids, has no control over who we admit, and the people who are focused on who we admit are not compensated directly based on the results. We have separated those two, and even within those groups, I am looking at it, our CEO is looking at it. A large amount of our success depends on our selections. We have to make sure we have got the brilliance. We have to make sure we are below the poverty line and getting deserving kids. We have tried to make sure that the incentives are aligned. On the other side, when we care about the results, those guys had nothing to do with who we picked, so they just purely focus on the results.

Stig: Fantastic. Thank you for sharing. I should say I would encourage everyone to read the wonderful letters. Even if they are not interested in philanthropy, the letters are interesting to learn about the business model of giving away money. One of the things I like about the letters is that you are not shy about attacking the toughest problems. Whenever I speak to people about our organization and what we want to do, there is this natural tendency to focus on getting the best teachers. One of the problems that we have been looking at is whether we should, for example, target specifically students who come from abusive homes? One way to do that is to build housing and then get them out. I guess my question to you is, have you identified problems where you have just said, "This is just too hard. It is wonderful if we can solve it, but we just do not want

to. It is just too hard. We want to do hard things, but not things that are this hard." How do you figure that out within your organization?

Mohnish: Stig, you have to be realistic. It is not just difficult; it is impossible to optimize for more than one variable. When we are trying to do selections, for example, we only have two things we are looking at. We are looking at the brilliance, and we are looking at the socioeconomic status of the family. We have a couple of other things, like giving some preference to girls and the disabled. But we do not get into a lot of stuff beyond that, because if we start going into things like you said, abusive households and all of that, that is going to become a very complicated problem. We find a lot of issues in the homes of the families where the kids have come from, but we would not have known that at the beginning. It comes out in dribs and drabs over time. I would say that would be a difficult thing to add to your plate. I would not go there. If you are going to try to work with abused kids, do not try to work with brilliant abused kids. Just work with abused kids, with whatever you need to do to help them. Because now you are trying to put too many variables into the same thing. It becomes hard. It is important to keep things as simple as possible. It is important to make sure everyone understands that game plan, and they are not going to understand the game plan if it becomes complicated, and then it works. You were talking about hiring teachers. Our oldest alumni are now early 30s, 33, and 34 years old. More than half the folks we hire now are our alumni. More and more of our alumni are making up the faculty. More and more of our alumni are making up a lot of our management team, all the way except for the CEO. When I go one level below the CEO at Dakshana, it is all alumni. For these individuals, it is not about the paycheck. It is very clear to me when I meet them that their passions for Dakshana vastly exceed mine. They are not stupid like me playing some game. They deeply care about the mission, so they have a purity I do not have. It is beautiful to see that.

Stig: Wonderful. Years ago, you recommended Peter Thiel's wonderful talk, *Competition Is for Losers* and that talk was just such an eye opener for me. I went from thinking that most companies have a moat, I read Bruce Greenwald's wonderful book *Competition Demystified*. I did that after going through that talk. He also talks about how most companies do not have a moat, but execution in itself can be a moat. There is this story that you sometimes mention about those two gas stations, and then one owner goes out, does a little extra, and the other does not. I am curious to hear if we can bring that up to a level. Talking about how you look at execution being the moat, and how you evaluate from the outside if a company has an execution moat?

Mohnish: Going back to the beginning of our conversation, I said that if you just held your Walmart shares and everything else went to zero, you did well. We look at Buffett's example, where 3- 4% of what he invested has truly moved the needle. The rest have not done that much. What those two pieces of data tell you is that enduring moats are few and far between. It is just the nature of capitalism that everything gets competed away. If you are someone like ASML or Nvidia,

those are some moats that are going to stay for some time because they got a head start, and ASML may stay forever. That is like black magic. It is the anomalies in capitalism that lead to votes. It is very difficult to conceive of a business and then start a business saying, "I am going to have an XYZ moat and be successful at doing that." Even when we look at a business like Coca-Cola or American Express, these started moatless; there were no moats. The founders had no idea what a moat is. They kind of stumbled along, and in some cases, their original business model died, and a new business model emerged accidentally, and they made it. It is almost impossible to start with the idea that I am going to create a moat, and moats are very rare. I would say that approach businesses and their moats with very jaundiced eyes.

Stig: Thank you. I am a bit on the fence about asking you this question, Mohnish, because I kind of feel like I am going to pit myself into a corner. You often get this question about your circle of competence and your graceless response, "If you ask that question, then you probably do not know enough." I feel I still have a question about the circle of competence. Why are you shooting it down? Whenever it comes to regulation, it sets a black box for so many of us. It is interesting to hear you talk about different regulations whenever it comes to different businesses and how you identify them, and so on. Assuming that we do not have a circle of competence whenever it comes to regulation, which we probably do not by asking this question, how do we train that? As laypeople, with no degree in law or anything like that, how do we train to figure out the impact of a business angle?

Mohnish: One has to approach the circle of competence with a lot of humility. When you say, "Okay, there is this business. It can be impacted by regulations, changes in regulations. How do I handicap that? "The answer is, it may be that that question leads to putting that business in the too-hard pile. A lot of humans have difficulty with giving up. They do not want to give up. Like you are saying, "Okay, I like this business. I have seen this business. I spent some time on the business, but I do not understand this part of it, and how do I get to understanding that part of it?" Buffett and Munger's answer would be that 99% of businesses need to go in the too-hard pile. That is where people have difficulty, where they are not willing to easily give up.

It was in 2014 or something. I used to go with Guy Spier every year to Omaha on Thursday because I had asked Buffett's assistant, Debbie, if she would go to lunch with us. She said, "I would love to go to lunch with you guys." I love Debbie. She said, "But when you come for the annual meeting, Friday is like a zoo at the office. All these celebrities are coming. I cannot move. But, if you come on Thursday, I can go to lunch with you guys." We started going to Omaha on Thursday morning, and then we would go meet Debbie for lunch. By the way, the lunches with Debbie, which we had for several years, blew away the lunches with Warren. They were so much fun. I always start the conversation with Debbie like that, "Debbie, between us girls, can we talk?" She said, "Mohnish, what do you want to know? Anything you want to know, I am going

to tell you." Then we would talk about all kinds of things. It was just great. One time, in 2014, when we went to have lunch with Debbie and came to the 14th floor of Kiewit Plaza, the elevator opened, and Warren was standing there. I thought that he was maybe going in the elevator somewhere. But it turned out he was standing in the lobby of the elevator to greet us. Fortune 10 CEO coming to the elevator to meet two yo-yos with whom he does not have an appointment. I start talking to Warren, and then he says, "You guys want a tour of headquarters?" I said, "Warren, if you want to waste your time with a couple of yo-yos, we are all game." He takes us on a tour and shows us all the memorabilia in the office. He showed us the letter he sent to Long Term Capital Management when he was trying to buy that business. Then the first shares of Burlington Northern and his Coke fountain. He has his private Coke fountain, and he was showing us how it works. Finally, he takes us to his private office to show it to us. I noticed that on his desk, there is a box that says too hard. I had heard about that box. The box was empty. I said, "Warren, everything is supposed to go in the too-hard pile. You have all these piles of papers. Nothing is in the too-hard pile. What is going on?" He said, "Oh, that is just an illusion, Mohnish." He takes a bunch of papers and dumps them in the too-hard pile. He says, "See, it is completely full now, and we are going to put more in it so it is even fuller." But a guy like Warren needs to have a box on his desk. If you go to God Google and type in, Buffett, too hard picture, it will show a picture of him in his office with the too hard pile box. God Google will show you whatever you want. Someone as disciplined as Warren needs a physical box to remind him that most things he cannot understand. This is a very high IQ guy. This is a guy who is a child prodigy and still has the humility to understand that 99% of the stuff he is not going to understand. This regulation question, the moment you encounter something like that, be very comfortable with saying "no" very fast to almost everything. There should be 10 companies in the world that you understand, and there should be 10,000 that you have no clue about.

Stig: That is wonderful. Then I should say, "Well, I am in that lucky situation that, being an investor in Pabrai Investment Funds, I do not even need to understand it." You, of course, can say that. Let us say in one of your funds, Reysas is just 60%; it is a massive part of it. I am probably the only one of your investors who feels like you are not too concentrated. Anyways, you can quote me on that. I hope I do not speak out of school whenever I mention that. I get asked by a ton of people, "Why do you have this podcast. You sit around, you are a bit of a yo-yo. You just sit reading in 10k. You do not understand too many, and you only invest in five. Why do you also invest with Mohnish?" One of the things I say to tell people is that it gave me a lot of comfort investing with you because you set up the first fund, about 1999, and then the two others shortly after. But I guess my question is how long should a track record be, and how much should it outperform before you can say with 90% certainty, 95% certainty that it is skill and not luck?

Mohnish: That is a great question. I would say you need plenty of time. You need more than 10 years and preferably something like 20 years.

Stig: Simple as that. How do you think in terms of overperformance? I know it is an unreasonable question because it is tough to come up with an equation. Just call me collect whenever you have the equation, Mohnish. Of course, there is a difference between having beaten the S&P 500 or whatever kind of index for like 0.1% or 5%, or 10%. We all know what Buffett did in your early days of the Buffett Partnership. I know that I am seeing it up for you in a terrible way, but how much outperformance would you need to see over, let us say, 20 years, before we can say, ooh, this is skill. This is not 0.1%, this is truly skill?

Mohnish: Well, I would just like to point out something that when Ted Weschler was being hired by Berkshire Hathaway in 2010, it was after the fact that between 2007 and 2009, they were down more than 70%. They hired a guy who, when they looked at the recent past, before they hired him, looked horrible. The numbers looked horrible. He was 30 points behind the S&P in those years. But they still hired him because they looked at the longer-term record and went with that. There have been three CEOs at Microsoft. I talked to some Microsoft investors who hate the period of owning the stock when Steve Ballmer was CEO. But it was not fully Steve Ballmer's fault. He came in when the stock was ridiculously overvalued, and he left when it was ridiculously undervalued. Then Satya comes in with an undervalued company, and he hits it out of the park. He created a lot of value, but his starting point was a value stock. We can get a lot of distortions even looking at 10-year periods because of this notion, because markets can be very overvalued. I would say that anyone, when they are compared to the S&P in the last decade, is not going to be looking great because the S&P is coming off an incredible 10 years. But in the next 10 years, a lot of yo-yos will probably beat the S&P because it is so elevated. Even the index, one has to calibrate the index. Where are you looking at a normalized index? Are you looking at an overheated index? The selection of an investment manager is one of the most difficult things to do.

Stig: Mohnish, thank you for being with me on this metaphorical restaurant, trying these new dishes here. I do not know if it was tasteful or not, but any concluding remarks?

Mohnish: I very much enjoyed the conversation Stig. It was fantastic. We got to sample a bunch of new dishes. We mixed it up with some of the old is gold, but we got some new dishes in there, too.

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